



Bill Number: S.B. 1683

Carroll Floor Amendment

Reference to: printed bill

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

- Redefines *substantial interest* to mean an interest of 15 percent or more, rather than 5 percent or more, that is calculated as if all contingent interests that are held by the foreign adversary nation or foreign adversary agent have been converted or exercised.

CARROLL FLOOR AMENDMENT
SENATE AMENDMENTS TO S.B. 1683
(Reference to printed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Section 33-443, Arizona Revised Statutes, is amended to
3 read:

4 33-443. Prohibition against land ownership; foreign adversary
5 nation or agent; enforcement; violation;
6 classification; definitions

7 A. Notwithstanding any other law and except as provided in
8 subsection ~~F~~ K of this section, a foreign adversary nation or a foreign
9 adversary agent may not, directly or indirectly, purchase, own, LEASE,
10 acquire by grant or devise, OBTAIN A CONCESSION or otherwise obtain a
11 CURRENT OR FUTURE substantial interest in real property in this state.
12 THIS PROHIBITION INCLUDES ANY TRANSACTION THAT RESULTS IN THE ACQUISITION
13 OF PROPERTY RIGHTS, WHETHER OR NOT THE TRANSACTION INVOLVES A TRANSFER OF
14 TITLE, INCLUDING:

15 1. A PURCHASE, LEASE OR CONCESSION OF REAL PROPERTY BY OR TO A
16 FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT.

17 2. A CHANGE IN PROPERTY RIGHTS RESULTING FROM A COVERED REAL ESTATE
18 TRANSACTION DESCRIBED IN 31 CODE OF FEDERAL REGULATIONS SECTION 802.301
19 THAT ALLOWS A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT TO DO
20 ANY OF THE FOLLOWING:

21 (a) PHYSICALLY ACCESS THE REAL PROPERTY.

22 (b) EXCLUDE OTHERS FROM PHYSICAL ACCESS TO THE REAL PROPERTY.

23 (c) IMPROVE OR DEVELOP THE REAL PROPERTY.

24 (d) ATTACH FIXED OR IMMOVABLE STRUCTURES OR OBJECTS TO THE REAL
25 PROPERTY.

26 3. THE ACQUISITION OF ANY OPTION, WARRANT, RIGHT OF FIRST REFUSAL
27 OR FUTURE INTEREST, INCLUDING A REMAINDER OR REVERSIONARY INTEREST, THAT
28 PROVIDES A RIGHT TO ACQUIRE REAL PROPERTY OR THE PROPERTY RIGHTS DESCRIBED
29 IN PARAGRAPH 2 OF THIS SUBSECTION.

1 4. ANY CONVERTIBLE NOTE, BOND OR OTHER DEBT INSTRUMENT THAT
2 PROVIDES A RIGHT TO ACQUIRE AN EQUITY INTEREST OR PROPERTY RIGHTS ON
3 CONVERSION OR THE OCCURRENCE OF A CONTINGENCY.

4 B. A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY AGENT MAY NOT
5 INSTALL, MAINTAIN, HAVE ACCESS TO THE DATA OF OR OPERATE ANY EQUIPMENT ON
6 ANY REAL PROPERTY IN THIS STATE THAT INCLUDES UNCREWED OR AUTONOMOUS
7 SYSTEMS, ANTENNAS, COMMUNICATIONS SYSTEMS, SURVEILLANCE DEVICES OR
8 SENSORS. THIS SUBSECTION APPLIES WHETHER OR NOT THE INSTALLATION,
9 MAINTENANCE, ACCESS OR OPERATION IS:

10 1. PERMANENT OR TEMPORARY.
11 2. PHYSICAL OR EMBEDDED WITHIN OTHER STRUCTURES.
12 3. AUTHORIZED BY CONTRACT, LICENSE, CONCESSION OR INFORMAL
13 ARRANGEMENT.

14 C. THIS SECTION APPLIES TO ANY TRANSACTION, TRANSFER, AGREEMENT OR
15 ARRANGEMENT THAT IS DESIGNED OR INTENDED TO EVADE, AVOID OR CIRCUMVENT THE
16 APPLICATION OF THIS SECTION, INCLUDING:

17 1. THE USE OF ANY INTERMEDIARY, SHELL COMPANY, PARTNERSHIP OR TRUST
18 TO OBSCURE THE IDENTITY OF A FOREIGN ADVERSARY NATION OR FOREIGN ADVERSARY
19 AGENT AS THE BENEFICIAL OWNER OR CONTROLLING PARTY.
20 2. THE RESTRUCTURING OF AN EXISTING INTEREST TO FALL BELOW THE
21 SUBSTANTIAL INTEREST THRESHOLD WHILE MAINTAINING FUNCTIONAL CONTROL OF OR
22 THE PROPERTY RIGHTS DESCRIBED IN SUBSECTION A, PARAGRAPH 2 OF THIS
23 SECTION.

24 D. AN ENTITY THAT IS A PUBLIC SERVICE CORPORATION,
25 TELECOMMUNICATIONS PROVIDER, CRITICAL INFRASTRUCTURE OWNER OR GOVERNMENT
26 AGENCY IN THIS STATE SHALL NOTIFY THE ATTORNEY GENERAL AND THE CORPORATION
27 COMMISSION IF THE ENTITY HAS ENTERED INTO OR SUSPECTS A LEASE, LICENSE OR
28 COLOCATION AGREEMENT HAS OR MAY HAVE ALLOWED A FOREIGN ADVERSARY NATION OR
29 FOREIGN ADVERSARY AGENT TO INSTALL EQUIPMENT ON THE ENTITY'S PROPERTY OR
30 INFRASTRUCTURE.

31 E. ANY TRANSACTION IN THIS STATE THAT FAILS TO COMPLY WITH A
32 COMMITTEE ON FOREIGN INVESTMENT IN THE UNITED STATES MITIGATION AGREEMENT
33 OR A PRESIDENTIAL ORDER OF DIVESTMENT IMPLEMENTED UNDER 31 CODE OF FEDERAL
34 REGULATIONS PART 802 IS A VIOLATION OF THIS SECTION.

35 ~~B.~~ F. The attorney general shall enforce this section. The
36 enforcement of this section may not be based on a person's race or
37 national origin. If the attorney general reasonably suspects THAT a
38 violation of this section occurred, the attorney general:

39 1. May commence an action in superior court in the county in which
40 the real property is located.
41 2. Shall report the matter to the federal bureau of investigation
42 for suspected espionage activity or to other local, state or federal law
43 enforcement agencies with the statutory authority to investigate those
44 cases.
45 3. Shall report the matter to the committee on foreign ~~investments~~
46 INVESTMENT in the United States (50 United States Code section 4565).

1 4. MAY SEEK AN IMMEDIATE INJUNCTION TO CEASE THE OPERATION OF
2 EQUIPMENT AND MAY MOVE FOR AN ORDER OF FORFEITURE AND REMOVAL OF THE
3 PROHIBITED DEVICES AT THE VIOLATOR'S EXPENSE.

4 G. ON THE INITIATION OF A COMMITTEE ON FOREIGN INVESTMENT IN THE
5 UNITED STATES REVIEW OF A TRANSACTION INVOLVING REAL PROPERTY IN THIS
6 STATE, THE ATTORNEY GENERAL MAY PETITION THE COURT FOR AN AUTOMATIC STAY
7 OF ANY PROPERTY DEVELOPMENT OR EQUIPMENT INSTALLATION PENDING THE FEDERAL
8 OUTCOME.

9 ~~E.~~ H. If pursuant to an action filed under subsection ~~B~~ F,
10 paragraph 1 of this section the superior court finds that title or a
11 substantial interest in real property was obtained in violation of
12 subsection A of this section, the court shall:

13 1. Enter an order:

14 ~~1.~~ (a) Stating the court's findings.

15 ~~2.~~ (b) Divesting the ~~person's~~ interest OF THE FOREIGN ADVERSARY
16 NATION OR FOREIGN ADVERSARY AGENT.

17 ~~3.~~ (c) Directing the board of supervisors to sell the real
18 property in a manner that is consistent with title 42, chapter 18, article
19 7, except that the board of supervisors shall distribute the remaining
20 proceeds after paying taxes, interest, penalties, fees and costs in the
21 following order of priority:

22 ~~(a)~~ (i) To any valid lienholder for the value of the lienholder's
23 outstanding lien that is attached to the real property.

24 ~~(b)~~ (ii) To the appropriate county treasurer and the attorney
25 general to reimburse the appropriate board of supervisors and the attorney
26 general for expenses incurred in ~~the prosecution of~~ PROSECUTING a
27 violation of this section.

28 ~~(c)~~ (iii) To the property owner in an amount equal to the
29 remaining proceeds of the sale, if any.

30 2. NOTWITHSTANDING SUBSECTION C OF THIS SECTION, IF THE SUBSTANTIAL
31 INTEREST IN REAL PROPERTY IS HELD THROUGH A CERTIFICATE OF PURCHASE,
32 LEASE, RIGHT-OF-WAY OR OTHER INSTRUMENT RELATING TO LAND OWNED IN TRUST BY
33 THIS STATE PURSUANT TO ARTICLE X, CONSTITUTION OF ARIZONA, DECLARE THAT
34 THE SUBSTANTIAL INTEREST IS EXTINGUISHED AND SHALL ORDER THAT INSTRUMENT
35 CANCELED IN ACCORDANCE WITH ITS TERMS, SUBJECT TO THE RIGHTS OF ANY
36 REGISTERED MORTGAGEE OR OTHER LIENHOLDER PURSUANT TO SECTION 37-255.

37 ~~D.~~ I. A title insurer, title agent, escrow agent or real estate
38 licensee may not be held liable for any violation of this section.

39 ~~E.~~ J. A violation of this section may not be the basis for a title
40 insurance claim for any title insurance policy issued for REAL property in
41 this state.

42 ~~F.~~ K. A foreign adversary nation or foreign adversary agent may
43 acquire real property or any interest in real property in this state by
44 devise or descent, the enforcement of security interests or the collection
45 of debt, if the foreign adversary nation or foreign adversary agent sells,
46 transfers or otherwise divests from the real property within one hundred
47 twenty days after acquiring the real property.

1 ~~6.~~ L. It is unlawful for a person to knowingly make to a law
2 enforcement agency of this state or a political subdivision of this state
3 a false, fraudulent or unfounded report or statement regarding an alleged
4 violation of this section. A violation of this subsection is a class 1
5 misdemeanor.

6 M. A FOREIGN ADVERSARY AGENT THAT VIOLATES SUBSECTION B OF THIS
7 SECTION IS GUILTY OF A CLASS 5 FELONY.

8 ~~H.~~ N. For the purposes of this section:

9 1. "ANTENNA" MEANS COMMUNICATIONS EQUIPMENT THAT TRANSMITS OR
10 RECEIVES ELECTROMAGNETIC RADIO FREQUENCY SIGNALS AND THAT IS USED IN
11 PROVIDING WIRELESS SERVICES.

12 2. "BENEFICIAL OWNER" MEANS ANY PERSON OR ENTITY THAT, DIRECTLY OR
13 INDIRECTLY THROUGH ANY CONTRACT, ARRANGEMENT, RELATIONSHIP OR OTHERWISE,
14 HAS OR SHARES VOTING POWER OR INVESTMENT POWER OVER THE PROPERTY OR THE
15 ENTITY HOLDING THE PROPERTY.

16 3. "COMMUNICATIONS SYSTEM" MEANS ANY EQUIPMENT AT A FIXED LOCATION
17 THAT ENABLES WIRELESS OR WIRELINE COMMUNICATIONS BETWEEN USER EQUIPMENT
18 AND A NETWORK.

19 4. "CONCESSION" MEANS A RIGHT TO USE REAL PROPERTY, INCLUDING PORTS
20 AND AIRPORTS, FOR A SPECIFIC PURPOSE OR FOR A SPECIFIC PERIOD OF TIME,
21 PURSUANT TO AN AGREEMENT WITH A GOVERNMENT ENTITY OR A PRIVATE PERSON.

22 5. "CONTINGENT INTEREST" MEANS A FINANCIAL INSTRUMENT OR
23 CONTRACTUAL RIGHT THAT DOES NOT CONSTITUTE AN EQUITY OR PROPERTY INTEREST
24 BUT IS CONVERTIBLE INTO, OR PROVIDES THE RIGHT TO ACQUIRE, AN EQUITY OR
25 PROPERTY INTEREST ON THE OCCURRENCE OF A CONTINGENCY OR DEFINED EVENT.

26 6. "CONTROL" MEANS THE POWER, DIRECT OR INDIRECT, WHETHER OR NOT
27 EXERCISED, TO DETERMINE, DIRECT OR DECIDE IMPORTANT MATTERS AFFECTING THE
28 REAL PROPERTY, INCLUDING THE SALE, LEASE, MORTGAGE OR DEVELOPMENT OF THE
29 REAL PROPERTY.

30 ~~I.~~ 7. "Foreign adversary agent" means any of the following:

31 (a) An agent of a foreign adversary nation involved in espionage.

32 (b) A state-owned enterprise of a foreign adversary nation.

33 (c) An entity that is directed or controlled by a foreign adversary
34 nation or the proxies of that foreign adversary nation.

35 (d) A leader of a controlling political party or government or any
36 administrative subdivision of a foreign adversary nation.

37 (e) Any business or other entity that is headquartered or domiciled
38 in a foreign adversary nation and directly or indirectly held or
39 controlled by a foreign adversary nation.

40 (f) A FOREIGN PERSON AS DEFINED IN 31 CODE OF FEDERAL REGULATIONS
41 SECTION 802.221 WHEN APPLIED TO A FOREIGN ADVERSARY NATION.

42 (g) AN INDIVIDUAL WHO IS A MEMBER OF OR WHO ACTS IN SUPPORT OF A
43 DESIGNATED FOREIGN TERRORIST ORGANIZATION UNDER SECTION 219 OF THE
44 IMMIGRATION AND NATIONALITY ACT (8 UNITED STATES CODE SECTION 1189).

45 ~~J.~~ 8. "Foreign adversary nation" means a country that is either of
46 the following:

1 (a) Identified by the United States director of national
2 intelligence as a country that poses a risk to the national security of
3 the United States in each of the three most recent annual threat
4 assessments of the United States intelligence community issued pursuant to
5 section 108b of the national security act of 1947 (50 United States Code
6 section 3043b).

7 (b) Determined by the United States department of commerce pursuant
8 to 15 Code of Federal Regulations section 791.4.

9 9. "LEASE" MEANS A CONTRACT OR ARRANGEMENT, WRITTEN OR ORAL, FOR
10 THE POSSESSION AND USE OF REAL PROPERTY FOR A SPECIFIED PERIOD OF TIME.

11 10. "SENSOR" MEANS A HIGH-SENSITIVITY DEVICE THAT IS DESIGNED TO
12 DETECT, MEASURE OR RECORD PHYSICAL STIMULI, INCLUDING SEISMIC, THERMAL,
13 ACOUSTIC OR CHEMICAL DATA.

14 ~~3.~~ 11. "Substantial interest" means an interest of ~~thirty~~ [FIVE]
15 [FIFTEEN] percent or more THAT IS CALCULATED AS IF ALL CONTINGENT
16 INTERESTS THAT ARE HELD BY THE FOREIGN ADVERSARY NATION OR FOREIGN
17 ADVERSARY AGENT HAVE BEEN CONVERTED OR EXERCISED.

18 12. "SURVEILLANCE DEVICE" MEANS A DEVICE OR APPARATUS THAT CAN BE
19 USED TO INTERCEPT THE CONTENTS OF A COMMUNICATION OR TO CONDUCT VIDEO OR
20 ELECTRONIC MONITORING.

21 Sec. 2. Applicability

22 Section 33-443, Arizona Revised Statutes, as amended by this act,
23 applies to both:

24 1. Transactions that are entered into on or after the effective
25 date of this act.

26 2. A renewal, extension, modification or exercise of rights that is
27 related to an existing real property interest and that occurs on or after
28 the effective date of this act.

29 Sec. 3. Emergency

30 This act is an emergency measure that is necessary to preserve the
31 public peace, health or safety and is operative immediately as provided by
32 law.

33 Enroll and engross to conform

34 Amend title to conform

FRANK CARROLL

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